

Live-quote attempt

Before writing I tried to pull a live quote (doctrine: never value off a stale spot). The broker tool denied permission in this session, exactly as it denied both benches. **Every price in this deck is anchored to the evidence pack's 07:12Z print of \$128.06 and is therefore up to one session stale.** That is a real gap, flagged again in the sensors section.

PITCH — HLI — VERDICT: no position today at \$128.06; small starter authorized only on a limit at \$113 or lower, second buy withheld until the 10/29 earnings report — PROPOSED — PENDING ADJUDICATION

What we believe

Houlihan Lokey is a good business having a bad year, and the stock has already fallen most of the way to a price where that is properly paid for — but not all of it.

The specifics. The June quarter (their fiscal Q1 2027) brought in about \$511M of fees, down 15.5% from a year earlier and roughly 20% below what analysts expected (\$636M). The headline said profit per share fell 37%. That headline is misleading in the company's favour *and* against it: on plain accounting rules profit per share fell 19%, not 37%. The extra decline is an accounting add-back rolling off — shares and cash promised to the sellers of two firms Houlihan bought (Waller Helms, 7 Mile Advisors) that finally vested in January 2026, so the prior year's "adjusted" number was flattered, not this year's crushed. Pay as a share of revenue was flat-to-better year over year (61.5% both years on the adjusted basis; 64.3% vs 64.9% on the reported basis) on 15.5% less revenue, which is not what a business losing its franchise looks like.

Two things we think the market has half-marked:

1. **The year is probably worse than the sell side says.** June is Houlihan's weakest quarter every year — it was 21.5%, 21.2% and 23.1% of the full fiscal year in the last three years. Grossing \$511M up by that range gives roughly **\$2.21–2.41B of revenue this fiscal year**. Analysts, marked on 2026-08-05, carry **\$2.63B**. For \$2.63B to be right, June would have to be only 19.4% of the year — lower than any of the last

three years. Their earnings number is \$6.99 per share; ours, using the profit margin the company actually printed this quarter (17.9%), is about **\$6.00**, and about \$6.30–6.50 if margin recovers to last year's 19.8%.

2. **Even on the sell side's own optimistic numbers, the stock is not cheap against its closest comparable.** At \$128.06 it is 18.3x this year's expected earnings while those earnings are forecast to *fall* 7.5%. Evercore is 14.9x on earnings forecast to *rise* 34%. Houlihan carries a ~23% premium for the shrinking one.

So: quality is intact, the price is not yet compelling, and there is a dated test — the next earnings report — that resolves the one thing we genuinely cannot resolve from filings.

What the market believes

The market believes this is a cyclical trough in deal-making at a franchise that has historically been the most defensive one in the sector, and that you buy it into the trough.

Concretely: 11 analysts marked after the miss carry \$2.63B of revenue, \$6.99 of earnings, and an average price target of **\$153.50** — about 20% above today's price. The stock is 38.9% below its 52-week high of \$209.65 but has already bounced 13.5% off its 52-week low of \$112.83, so a third of the drawdown has been retraced by people acting on exactly this view. The most direct evidence of who is winning that argument: on 2026-08-13, the day Houlihan actually filed the prospectus letting acquisition sellers resell their shares, the stock rose 7.12% to \$132.21. Buyers absorbed a supply event without flinching.

The market also believes Houlihan's restructuring arm is a hedge — when mergers dry up, distressed work picks up. That is the historical pattern and it is why the stock trades at a premium to Evercore in the first place.

Why we might have edge

- **We read the reported numbers, not the press release.** The “-37% earnings” figure that anchors the bear case comes from the company's own adjusted presentation; the audited filing says -19%, and the gap is a vesting earnout, not deterioration. Anyone screening on adjusted earnings decline is measuring the wrong thing — in both directions, because last year's base was inflated by the same item. This is a repeatable pattern we can look for in other serial acquirers.
- **We did the seasonal arithmetic.** Both the original note (which multiplied June by four) and the sell side (which implicitly assumes June was only 19.4% of the year) are outside the three-year historical range. The honest range is \$2.21–2.41B.
- **We compared like for like.** The original note compared Houlihan's *forward* multiple to Evercore's *trailing* one, which manufactured a fake 24x-vs-16.5x gap. When both are put on marked forward numbers the gap is smaller but real and pointing the same way: 18.3x vs 14.9x.
- **We checked the balance sheet against what is owed.** Cash and investments of \$797M looks like 8.9% of the company's market value. But \$589M of that is accrued salaries and bonuses that get paid out. Genuinely unencumbered cash is closer to \$208M, or **2.3%** of market value. There is no debt drawn on the credit line. The balance sheet is clean but it is not a cushion.

Why it might be priced in

Symmetrically, here is why we may have no edge at all:

- **Fiscal-Q1 seasonality is not a secret.** Every sell-side model knows June is the weak quarter. Our “they’re too high” claim reduces to a disagreement about the *recovery slope* in the back three quarters, which is a forecast, not a discovered fact.
- **The 8% earnings gap is small.** Street \$6.99 vs our \$6.00–6.50 is an ~8% difference. That is inside normal forecast error, not a mispricing.
- **Supply has already been tested and absorbed.** The +7.12% print on the day the resale registration filed is direct evidence that the overhang story is not operative.
- **The premium may be correct.** If restructuring genuinely picks up as mergers stay slow, the earnings we are extrapolating down are the trough, and paying 18.3x a trough versus 14.9x a peak is the right trade, not the wrong one.
- **We have no read on positioning.** We could not pull short interest or any crowding measure. If the stock is already heavily shorted, the “everyone still believes” premise is wrong.

What we checked ourselves

Every row below was checked against a primary filing or a dated market source. Rows where **our own analysts got it wrong** are marked in the last column.

Claim	How checked	Found	Confirmed?
“24x forward vs Evercore’s 16.5x” (original note)	Read the note’s own column headers	Houlihan’s number was a forward estimate, Evercore’s was trailing. Not comparable	NO — our first pass erred. The headline gap was manufactured
“Correctly it’s ~20x” (red bench’s fix)	Re-derived	Red compared its own <i>adjusted forward</i> \$6.40 to peers’ <i>reported trailing</i> P/E — the same basis swap in the opposite direction	NO — our red bench repeated the error it convicted us of
Multiplying the June quarter by four to get the year	June’s share of each of the last 3 fiscal years	21.5% / 21.2% / 23.1% — never 25%. Correct range is \$2.21–2.41B	YES — our first pass erred, ×4 overstates the year
Analysts’ \$2.63B is reachable	Implied June share of the year	19.4% — below any of the last three years	YES — new check, neither bench ran it
“Earnings fell 37%”	Press release vs the quarterly filing	Reported earnings per share \$1.15 vs \$1.42 = -19% . The 37% is adjusted-basis and driven by	YES — and pay ratios were flat/better, so this is not operating decay

Claim	How checked	Found	Confirmed?
“Net cash is 8.9% of market value”	Read the balance sheet, including liabilities	an acquisition earnout add-back falling \$0.72 → \$0.20 per share Cash \$745M + investments \$52M, no debt drawn — but \$589M of accrued salaries/bonuses is owed. Unencumbered ≈ \$208M = 2.3%	YES — red overstated it ~4x
“348,000 shares repurchased → share count -1.9%”	Arithmetic	348,000 of 68.9M is 0.5% , not 1.9%. The share count did fall 1.9%, but buybacks explain only a quarter of it; the rest is unexplained	NO — red’s attribution is wrong; the residual is still unexplained
“No new share issuance — resale only”	Read the shelf registration itself, not the summary	It is an unlimited automatic shelf that also permits the company to sell new shares. Economically routine, but the claim as written is contradicted by the document	NO — our first pass erred
“Analysts haven’t updated since the miss (\$2.94B / \$8.55)”	Pulled dated consensus	Marked 2026-08-05 , 7 days after the print: 11 analysts, \$2.63B / \$6.99 / target \$153.50	NO — red used pre-print numbers while admitting it couldn’t confirm a revision. Exactly the stale-estimate error it convicted the note of
“The Aug 10 drop was caused by the shelf filing”	Daily price bars	Aug 10 was real: -4.35% to \$123.39 on 1,029,688 shares (~2x adjacent days). But Aug 13, the day the resale prospectus actually filed, printed +7.12% to \$132.21	Premise YES, cause NO. Red called the drop unverified — that was also wrong

Claim	How checked	Found	Confirmed?
“Registered shares are meaningful overhang”	Counted them	365,078 shares = 0.52% of 69,886,500 outstanding	NO — immaterial
“Waiting costs us the dividend”	Mechanics	The \$0.70 quarterly dividend (record 9/1, payable 9/15) is real, but a stock falls by the dividend on the ex-date. Not holding costs expected return, not the coupon	NO — red’s reasoning is mechanically wrong; the fact is right
Like-for-like forward comparison to Evercore	Both companies’ marked forward consensus	Houlihan 18.3x on -7.5% earnings; Evercore 14.9x on +34.2% earnings — a ~23% premium for the declining one	YES — neither bench ran this until the second pass
“\$113 is where Houlihan’s multiple meets Evercore’s ~15x” (blue bench’s band)	Arithmetic	$\$113 \div \$6.99 = \mathbf{16.2x}$, not 15x. True 15x on street earnings is \$104.85	NO — blue’s own entry band is mislabelled. We keep \$113 as the first buy but on the honest label
Size of the quarter’s miss	Quarter consensus	\$1.74 per share / \$636.3M expected vs \$1.35 adjusted / ~\$511M delivered	YES — the miss was larger than our note said
Live quote	Broker feed, three attempts across two benches and this write-up	Permission denied every time	NO — unresolved. All prices here are the 07:12Z pack print
Next earnings date 2026-10-29	Searched for a company release-date announcement	None filed. The date is vendor-derived	NO — unconfirmed

Primary sources: [Q1 FY27 10-Q](#) · [Q1 FY27 earnings release](#), [Exhibit 99.1](#) · [Shelf registration](#), 2026-08-10

PROPOSED ENTRY BANDS

No purchase at \$128.06. The objection is price, not business quality — so it is a price gate, not a rejection.

Level	Action	Size	Why this number
\$113.00 or lower (limit, good-till-cancelled)	First buy	0.5% of the book	16.2x the sell side's \$6.99, 17.4–18.8x our own \$6.00–6.50, and it brackets the 52-week low of \$112.83. -11.8% from here. This is where we stop paying a premium to a faster-growing comparable
\$104.85 or lower	Second buy — only if the 10/29 report has not already broken the thesis	to 1.0% total	Exactly 15x the sell side's \$6.99 — parity with Evercore's current forward multiple. This is the number blue's band was reaching for and mislabelled
After 2026-10-29	Release the withheld tranche only if the September-quarter report shows the corporate-finance fee-per-deal and the software vertical stabilising	—	Everything unresolved is resolved by this print
\$145 or higher without an earnings recovery	Trim back to the 0.5% starter	—	20.7x street earnings on a declining line. That is the premium we refused to pay on the way in
September-quarter revenue below ~\$560M	Sell, do not average down	—	Would put the year below \$2.2B, under the bottom of our own seasonal range. (The ~\$670M average for last year's other three quarters is derived from the annual total, not a filed quarterly figure)

Sizing. Cap at 1.0% of the book before the October report. Any purchase goes to the judgment account (ALPHA). We currently hold none and have no resting orders.

Catalyst dates. - **2026-09-01** — dividend record date; **2026-09-15** payable, \$0.70 per share (\$2.80 annualised = 2.19% yield). Confirmed in the earnings release. - **~mid-October 2026** — the company's practice is to announce the earnings date roughly two weeks ahead. Nothing filed yet. - **2026-10-29** — September-quarter results. **Unconfirmed** — vendor-derived, no company announcement exists. This is the decisive date and we do not actually know it.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 104.85 (deck-provisional: Second buy to 1.0%: exactly 15x street \$6.99, parity with Evercore's 14.9x forward multiple)
- filing watch: 8-K until 2027-02-18 (deck-provisional: September-quarter results and the earnings-date announcement; the 2026-10-29 date is vendor-derived an)
- dated pack HLII2026-09-01: HLI: Dividend record date, \$0.70/share; payable 2026-09-15 (\$2.80 annualised = 2.19% yield) (date confirmed=True)
- dated pack HLII2026-10-15: HLI: Expected earnings-date announcement PR (company practice is ~2 weeks ahead); none filed yet (date confirmed=False)
- dated pack HLII2026-10-29: HLI: Q2 FY27 results — decisive test of whether the -54% software line and -25% fee-per-deal are cyclical or structural (date confirmed=False)

What remains unverified

- **The one thing that actually matters.** The corporate-finance business showed fee-per-deal down about 25% and a software-sector line down about 54%. Whether that is an ordinary cycle or the permanent repricing of a vertical that AI is compressing is **not resolvable from any source available to us before the October report.** Both benches capped their confidence at 7/10 for this reason and so do we. If it is structural, \$113 is not low enough.
- **Is the fee decline mix or absence?** We do not have the revenue split by deal size. If the drop is the absence of large mandates rather than a shift to small ones, the seasonal gross-up above breaks.
- **The restructuring hedge.** Deal count in restructuring fell 34%. If that revenue falls again in September, the defensive premium Houlihan trades on has no basis.
- **The earnings date.** Vendor-derived, no company confirmation.
- **Today's price.** Stale by up to one session; no live quote obtainable.
- **Positioning.** No short-interest or crowding read.
- **The share count.** The diluted count fell 1.9% year over year; buybacks explain 0.5 points of that. The remaining 1.4 points is unexplained and we did not chase it down.
- **Peer forward multiples beyond Evercore.** Lazard, Moelis, PJT and Perella were compared on trailing numbers only. The like-for-like forward comparison is a two-name comparison, and two names is thin.

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Adjudication & update (2026-08-23)

Ruling (2026-08-22): DECLINE AT TAPE / CONDITIONAL STARTER 0.5% at ≤\$113. Valuation is the only surviving objection, and valuation routes to a price gate, never a rejection. Red correctly killed the brief's manufactured "24x vs EVR 16.5x" (forward-vs-trailing basis plus annualizing the fiscal Q1 trough) — but then anchored its own divergence leg on pre-print street numbers while convicting the brief of staleness; blue's overturn was credited on marked consensus (8/05, 11 analysts: FY27 \$6.99, PT \$153.50). The clean surviving finding (NOVEL): a ~23% like-for-like forward premium to Evercore for a franchise guided -7.5% EPS against EVR's +34%. Add-back decay sustained symmetrically (headline -37% was -19% GAAP — and the "cheap vs history" base was inflated by the same add-backs). Net cash is 2.3% of cap, not 8.9% (accrued comp). The shelf-mispricing leg died on tape (+7.12% on the 424B7 day). KILL-CLASS tally: 3 NOVEL / 1 CONSENSUS. Gate logic: \$113 ≈ 16.2x marked FY27E — near parity to EVR, bracketing the 52-week low (\$112.83); strict parity \$104 recorded for tranche-2 derivation post-print. Kills that flatten the gate: restructuring revenue down again at Q2 · software decline confirmed AI-permanent · premium re-widening >25% on marked numbers.

Order status: LIVE — BUY 44 @ \$113.00 GTC (submitted 8/22), cancel-by 10/27 (print 10/29 unconfirmed; the gate must be re-derived on the CF fee-band and software line after the print).

What could go wrong (*authored at deck update 2026-08-23 — post-ruling, pre-fill*)

1. **The fill is the news.** This entry only exists if the tape falls ~12% from here — and whatever causes that fall may be exactly the information that invalidates the gate (a fee-cycle crack, a franchise departure). A conditional bid below tape structurally selects adverse states — this is the position's defining risk, and no sensor can screen the cause before the fill. *Unknown-unknown class: adverse selection of conditional entries (tripwire-less).*
2. **The deal cycle turns without a company tell.** Advisory fees are a cyclical claim; an M&A freeze arrives market-wide, repricing every boutique's multiple at once. The premium-to-EVR kill would fire only after the re-rate, not before.
3. **The software/CF line proves AI-permanent.** If the Q2 print confirms the decline is structural rather than mix, the marked FY27E that justifies \$113 is itself stale — the gate flattens by rule, but a fast tape could fill us first (the cancel-by protects the print date, not the pre-print drift).

Reflexive/structural leg: 44 shares is negligible flow. The structural exposure is the interaction between the conditional gate and the cancel-by: the bid lives exactly in the window where only bad news can fill it, and dies before the scheduled news arrives — which is the correct design, and still worth saying plainly. Cohort: one of nine same-doctrine starters, 90-day grade 11/22.

“If this position loses money, the most likely reason will be that whatever took the tape down twelve percent to fill our \$113 gate was itself the news — we bought the adverse selection embedded in our own conditional entry.”